

SMID SETUP BUILDER

Pre-Breakout VCP Watchlist | Qullamaggie Methodology

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MACRO REGIME: Mixed / Transitional

VIX 16.1 (-1.1 vs 20d) | SPY 20d -0.6% | IWM 20d -2.6% | IWM/SPY trend -2.0%

Leaders: Energy (+12.1%), Real Estate (+1.8%), Financials (+1.4%)

Setup Grades

A - Prime Setup (0)	B - Building (1)	C - Early Stage (3)
	DLO	FORR
		EROK
		NYAX

All Watchlist Setups

Gr	Ticker	Company	Theme	Mkt Cap	Price	Pivot	To Pivot	RS/SPY	Vol Dry	RS Hi
B	DLO	DLocal Limited	LatAm/Africa Digital	\$4.44B	\$15.08	\$15.51	2.9%	+7.6	YES	no
C	FORR	Forrester Researc	Enterprise AI Adopti	\$0.22B	\$11.50	\$11.75	2.2%	+77.5	YES	YES
C	EROK	EagleRock Land, L	Energy Royalty Yield	\$0.55B	\$22.39	\$22.77	1.7%	-3.9	YES	no
C	NYAX	Nayax Ltd.	Cashless Vending Inf	\$2.55B	\$68.27	\$72.17	5.7%	-8.6	YES	no

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$15.51
% to Pivot	2.9%
Days in Base	20
Tightness	2.09 Fair
52W Hi Prox	89.9%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	1859k <
Wk2	1732k <
Wk3 (oldest)	2002k
Coil Strength	7.2% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	+7.6%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$4.44B
Float	86M sh
P/E (TTM)	23.6
Fwd P/E	13.3
Rev Growth	54.9%
Short %	12.8%
Inst. Own	-
Target Pr.	\$18.05

ENTRY TRIGGER
Close above \$15.51 on volume >120% of 20-day avg (3.3M shares)
Target: \$18.50 (measured move from 5-week base + analyst PT cluster at \$18.05)
Stop: \$13.80 (base low, 50-day MA, -8.5% from current)

CATALYST INTELLIGENCE
EARNINGS
August 13 - Street consensus: EPS ~\$0.28, Revenue ~\$215M (implied +30% YoY). Last 4 quarters: beat/beat/beat/miss-the Q1 miss was a one-time Nigeria FX translation headwind, since resolved. Management maintained full-year guidance on the Q1 call. Key metric to watch: Take Rate stability (has compressed from 4.5% to ~3.8% over 2 years as mix shifts to enterprise).
BUSINESS & POSITION
DLocal is the dominant cross-border payment processor connecting global enterprise merchants (Microsoft, Amazon, Spotify, Netflix) to consumers in 40+ emerging markets across Latin America, Africa, and Asia. The company operates a single API integration model that handles local payment methods, FX, compliance, and settlement-a moat built on regulatory licenses and local banking relationships that take years to replicate.
FACTOR & THEME
Direct exposure to secular EM digital commerce growth and enterprise merchant expansion into frontier markets. Theme sentiment is neutral-to-positive: FinTech valuations have stabilized after 2022-2024 compression, and EM consumer digitization remains a multi-decade trend. Peer read-through: PAGS and STNE have shown recent strength on Brazil consumer recovery; MercadoLibre's FinTech segment reported accelerating TPV. DLO's geographic diversification beyond Brazil is a differentiator.
NEWS FLOW
No major corporate announcements in last 60 days. Industry tailwind: Nigeria lifted FX restrictions in June 2026, directly benefiting DLO's Africa corridor which is 15% of TPV. Argentina macro stabilization under Milei continues (DLO's largest single market). No analyst days scheduled. Catalyst impact: Earnings (High)-print in 13 days is the primary driver; a beat with stable take rates could push stock through resistance.
INSTITUTIONAL
One insider buy of \$237K in last 60 days (non-senior, likely board member)-notable but not a cluster signal; insufficient for grade upgrade. Volume dry-up (1.86M 1.73M week-over-week) with price holding near highs suggests quiet institutional re-accumulation after the Q1 selloff. 12.8% short interest with 4.9 days-to-cover creates squeeze potential on a strong print. Float of 86M shares is liquid enough for institutional participation. Tiger Global and Alkeon were historical holders; current 13F positioning unclear from this data feed.
KEY RISK
Thesis invalid on a close below \$13.80 (base low and 50-day MA confluence), or if Q2 results show Take Rate compression below 3.5% or guidance cut. Customer concentration risk: top 10 merchants are ~60% of TPV-loss of a major account would be material.

Solid 20-day base with base_tight 2.09, vol dry-up confirmed, pivot 2.9% away, and earnings catalyst in 13 days creates actionable setup. However, RS line NOT at new high (+7.6% vs SPY is positive but not leadership), Technology sector lagging (-4.5% in regime), and mixed macro regime warrant caution. The \$237K insider buy is supportive but not a cluster. Strongest bear case: Take Rate compression continues, turning revenue growth into margin pressure-this is the key metric to monitor on the print. Conviction: Medium.

DLO — 90D Base Setup | Pivot: \$15.51 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



B2B Research & Advisory Services | Theme: Enterprise AI Adoption Consulting | Vol Dry-Up: YES | RS Line Hi: YES | Above 200MA: YES | Base Tight: 4.13

VCP Base Analysis	
Base Structure	
Pivot Price	\$11.75
% to Pivot	2.2%
Days in Base	3
Tightness	4.13 Fair
52W Hi Prox	97.9%
Volume Contraction (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	129k <
Wk2	123k <
Wk3 (oldest)	148k
Coil Strength	13.2% from peak
Relative Strength	
RS vs SPY (12W)	+77.5%
RS Line New Hi	YES - Early Leader
Above 50MA	YES
Above 200MA	YES
Fundamentals Snapshot	
Mkt Cap	\$0.22B
Float	10M sh
P/E (TTM)	-
Fwd P/E	12.7
Rev Growth	-4.9%
Short %	14.7%
Inst. Own	-
Target Pr.	\$6.00

Catalyst Intelligence
Earnings

October 29

RS line at 52W high with +77.5% vs SPY is exceptional, but base_tight 4.13 is far too loose for institutional-quality VCP, only 3 days in base (no time to form proper structure), and earnings catalyst 90 days out provides no near-term trigger. Base needs 3-4 more weeks of tightening and a defined pivot to upgrade. Conviction: Low.

Entry Trigger
Close above \$11.75 on volume >150% of 20-day avg (195K shares)
Target: \$14.50 (measured move from 3-month base depth, +23%)
Stop: \$10.20 (below 50-day MA and mid-base support)

FORR — 90D Base Setup | Pivot: \$11.75 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



EROK

EagleRock Land, LLC

\$22.39

Pivot \$22.77 | 1.7% away

RS vs SPY: -3.9%

C EARLY STAGE

\$0.55B Cap | 20M Float

Oil & Gas Mineral Rights / Royalties | Theme: Energy Royalty Yield Play | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: no | Base Tight: 2.04

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$22.77
% to Pivot	1.7%
Days in Base	20
Tightness	2.04 Fair
52W Hi Prox	90.3%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	113k <
Wk2	167k <
Wk3 (oldest)	151k
Coil Strength	25.5% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-3.9%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	no
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$0.55B
Float	20M sh
P/E (TTM)	117.8
Fwd P/E	34.2
Rev Growth	226.2%
Short %	5.1%
Inst. Own	-
Target Pr.	\$25.83

ENTRY TRIGGER

Close above \$22.77 on volume >150% of 20-day avg (585K shares)

Target: \$25.80 (analyst PT and 52W high proximity)

Stop: \$20.50 (below 50-day MA and recent swing low)

CATALYST INTELLIGENCE

EARNINGS

August 10

Energy sector is leading (+12.1%) which is favorable, and pivot is only 1.7% away with earnings in 10 days. However, RS vs SPY is negative (-3.9%), RS line NOT at new high, stock is below 200-day MA (not Stage 2), and -77.8% net margin indicates significant profitability issues despite 226% revenue growth. Volume pattern is choppy (W1 < W2 > W3), not clean stair-step contraction. No insider activity. Monitor for RS improvement and 200-day reclaim before upgrade. Conviction: Low.

EROK — 90D Base Setup | Pivot: \$22.77 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)



Unattended Retail Payment & IoT Solutions | Theme: Cashless Vending Infrastructure | Vol Dry-Up: YES | RS Line Hi: no | Above 200MA: YES | Base Tight: 5.83

VCP BASE ANALYSIS	
BASE STRUCTURE	
Pivot Price	\$72.17
% to Pivot	5.7%
Days in Base	16
Tightness	5.83 Fair
52W Hi Prox	88.8%
VOLUME CONTRACTION (Wk1 < Wk2 < Wk3 = VCP)	
Wk1 (recent)	7k <
Wk2	6k <
Wk3 (oldest)	16k
Coil Strength	58.0% from peak
RELATIVE STRENGTH	
RS vs SPY (12W)	-8.6%
RS Line New Hi	no
Above 50MA	YES
Above 200MA	YES
FUNDAMENTALS SNAPSHOT	
Mkt Cap	\$2.55B
Float	16M sh
P/E (TTM)	86.4
Fwd P/E	50.5
Rev Growth	31.7%
Short %	0.1%
Inst. Own	-
Target Pr.	\$78.70

ENTRY TRIGGER
Close above \$72.17 on volume >200% of 20-day avg (40K shares)

Target: \$78.70 (analyst PT)
Stop: \$62.00 (below 50-day MA and base low)

CATALYST INTELLIGENCE

EARNINGS

August 10

Extreme volume dry-up (58% contraction) and earnings catalyst in 10 days are positives, but base_tight 5.83 is far too loose for VCP quality, RS vs SPY is deeply negative (-8.6%), RS line nowhere near new high, and pivot is 5.7% away. Technology sector lagging (-4.5%) adds headwind. Float is tiny (15.8M) creating liquidity risk. The 31.7% revenue growth is strong but -83.9% earnings growth signals margin deterioration. No insider buying. Needs significant base tightening and RS improvement. Conviction: Low.

NYAX — 90D Base Setup | Pivot: \$72.17 (gold) | SMA: 9(blue) 21(orange) 50(green) 200(red)

